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Subject: US MARKETS CALL: S&P 500 Valuation Dives As Earnings Soar
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YARDENI QUICKTAKES

US MARKETS CALL: S&P 500 Valuation Dives As Earnings Soar

By Ed Yardeni & Toby Hearst • 7 Nov 2026

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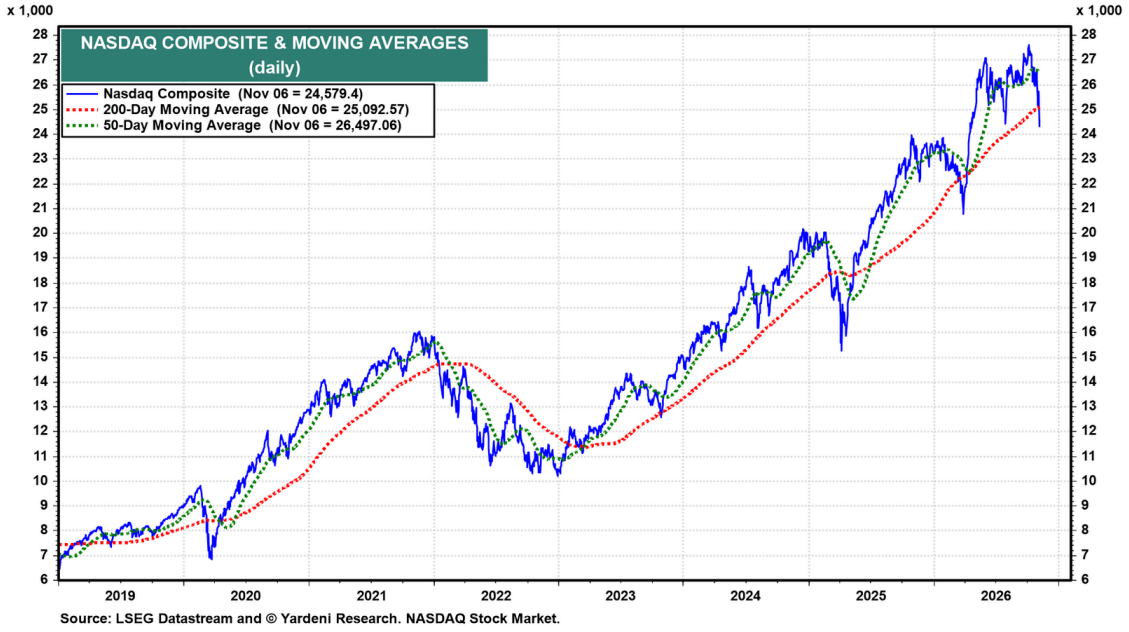
Photo by Baptiste Azais / Unsplash

The stock market dived last week. Investors priced in political backlash against data centers after Democrats swept Congress. We anticipated buying opportunities after the midterm elections, and Thursday's selloff delivered some. This remains an earnings-led bull market. Valuations are falling while earnings are soaring. We still view the AI backlash as another

speed bump, not a roadblock. We are sticking with our 7,900 year-end target for the S&P 500.

I. Performance

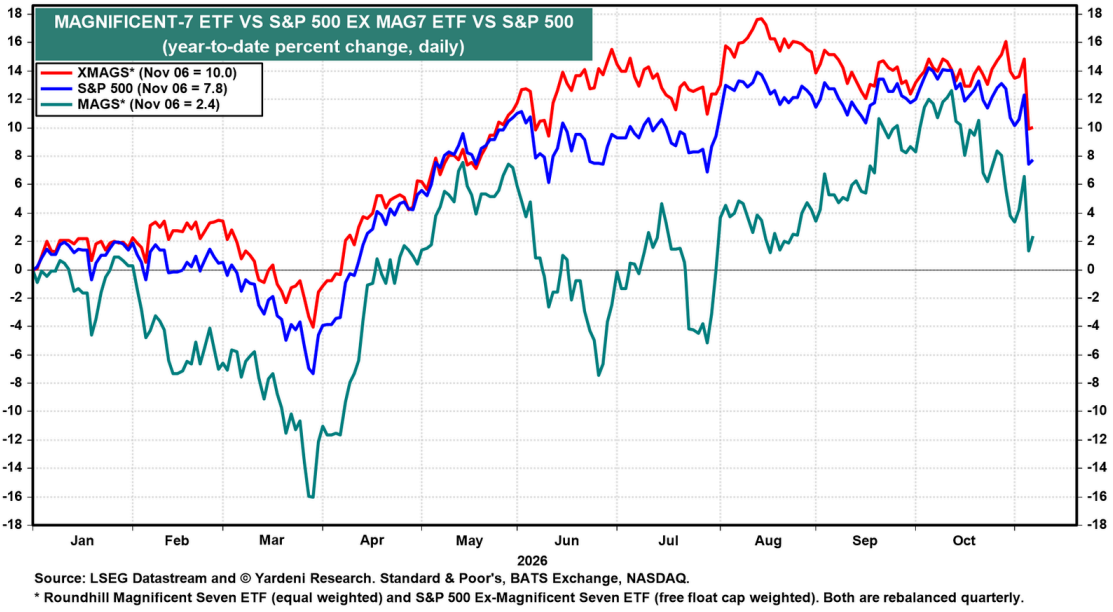
The Nasdaq entered correction territory on Thursday and closed the week below its 200-day moving average (chart). It has done this before recently. It rebounded sharply after its Spring 2025 "Liberation Day" plunge and again after the Iran war started earlier this year, quickly resuming its uptrend both times.



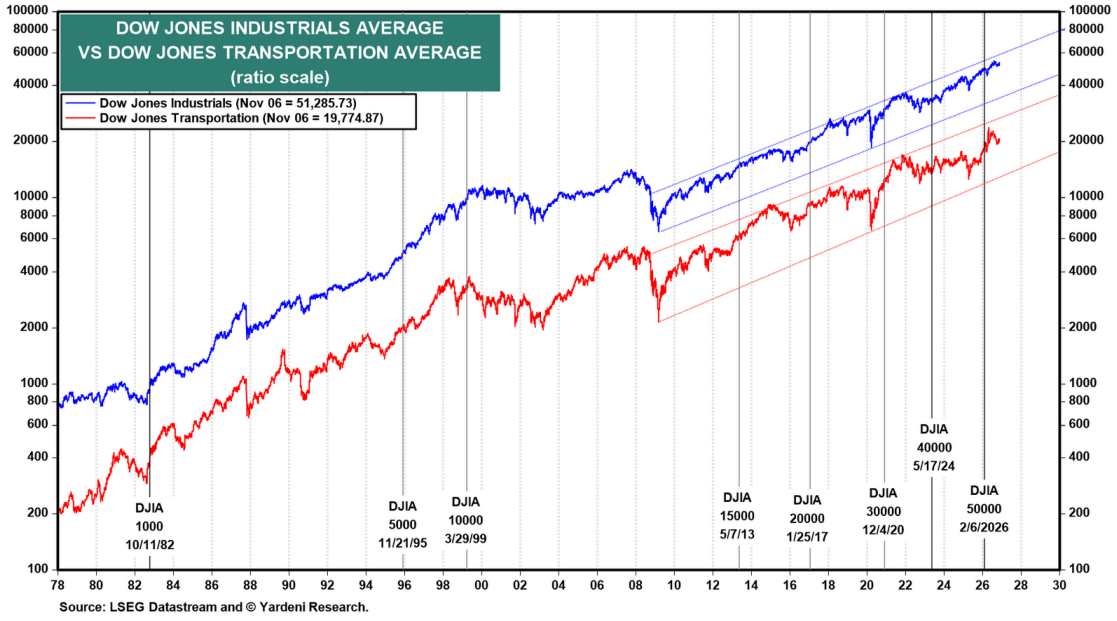
The equal-weight S&P 500 is holding up remarkably well. It remains near its recent record high and above both its 50-day and 200-day moving averages (chart). The damage has been concentrated in the AI trade, not the broader market.



The Magnificent-7 are underperforming again. The MAGS ETF is up only 2.4% ytd, versus 7.8% for the S&P 500 (chart). The Impressive-493 also took a hit this week. The XMAGS ETF includes Micron and the other semiconductor stocks hit hardest in the selloff. It is still up 10.0% ytd.



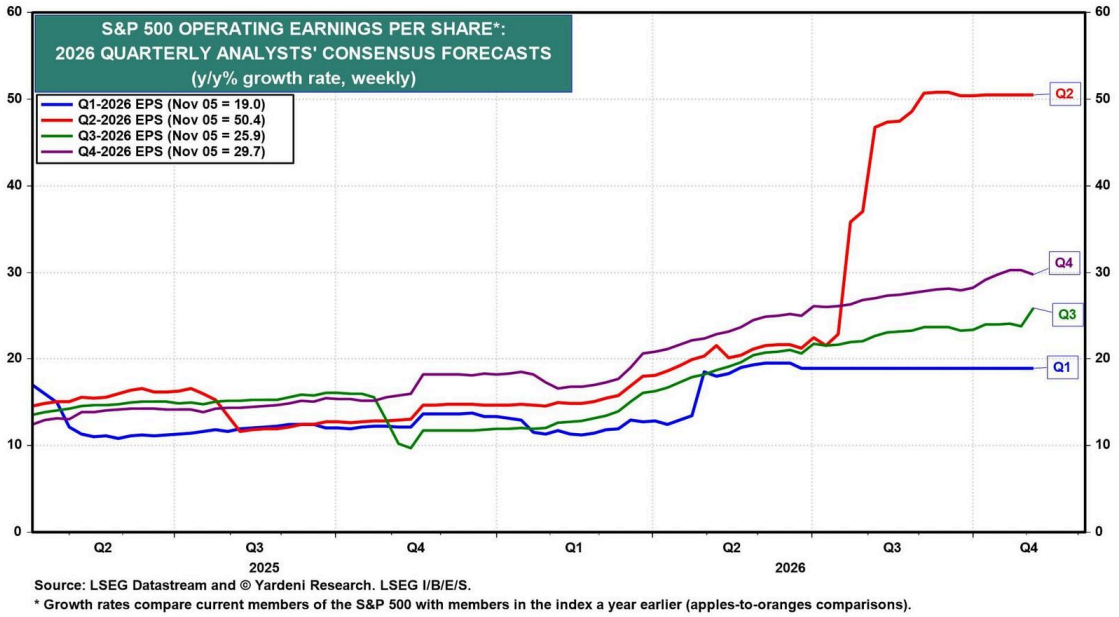
Dow Theory remains bullish. The Dow Jones Industrial Average is holding up well near its highs (chart). The Transports have lagged. They should improve if oil prices continue to fall.



II. Earnings

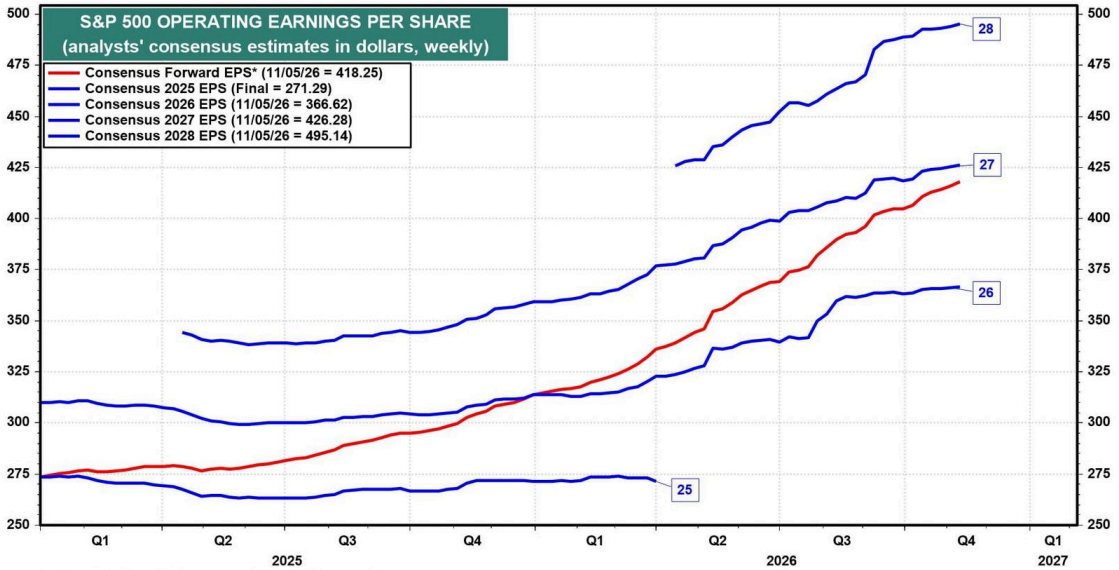
Earnings season picked up this week. The blended Q3 S&P 500 EPS growth estimate (i.e., actual results for companies that have reported, estimates for those that haven't yet) rose to 25.9% y/y from 23.8% a week earlier, helped by AMD's solid results. Q4's estimate edged down to 29.7%

(chart). As we noted previously, Q2's 50.4% y/y EPS growth rate was boosted by mark-to-market gains at Alphabet and Amazon. Excluding those, growth was closer to 25%, which is still very strong.



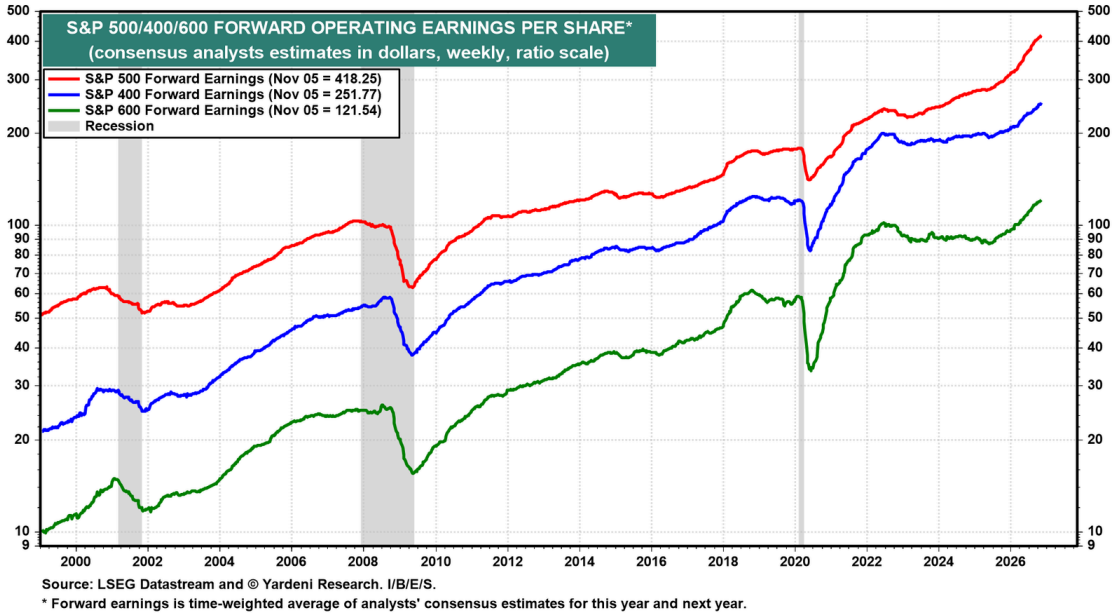
Source: LSEG Datastream and © Yardeni Research. LSEG I/B/E/S.
* Growth rates compare current members of the S&P 500 with members in the index a year earlier (apples-to-oranges comparisons).

Forward earnings rose to a record $418.25. It is converging on the 2027 estimate of $426.28, which continues to climb (chart). Analysts' 2028 consensus S&P 500 EPS estimate rose to $495.14; it's been closing in on $500—which is our target for 2030! We are bullish, but not as bullish as the analysts. The drop in the forward P/E this year suggests that investors also believe analysts are too bullish on earnings.

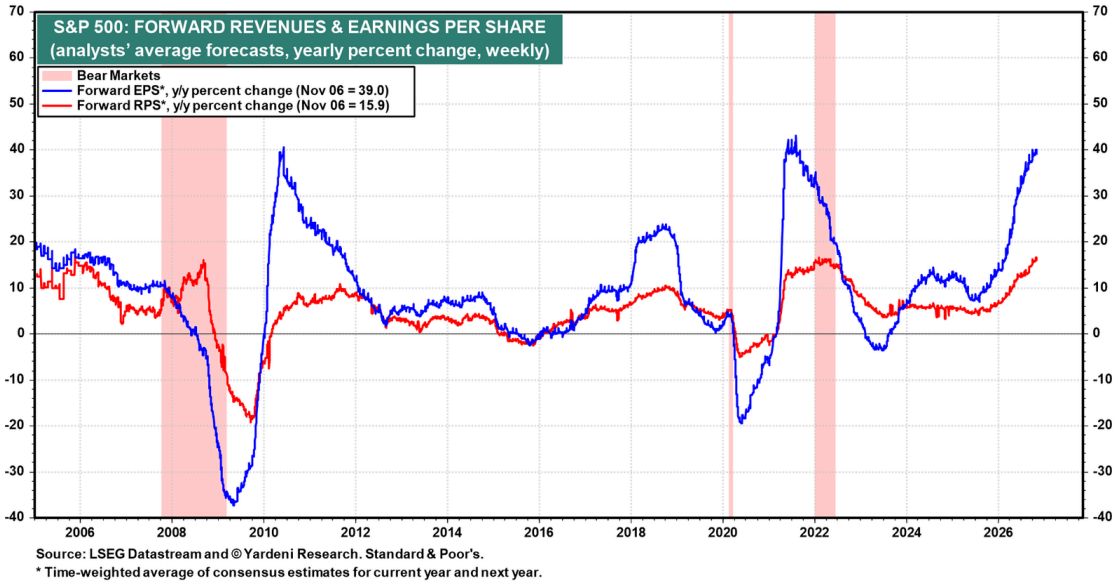


Source: LSEG Datastream and © Yardeni Research.
* Time-weighted average of analysts' consensus estimates for current and coming year.

Forward earnings for the S&P 500, S&P 400, and S&P 600 all rose to record highs again last week (chart). Earnings strength remains broad.

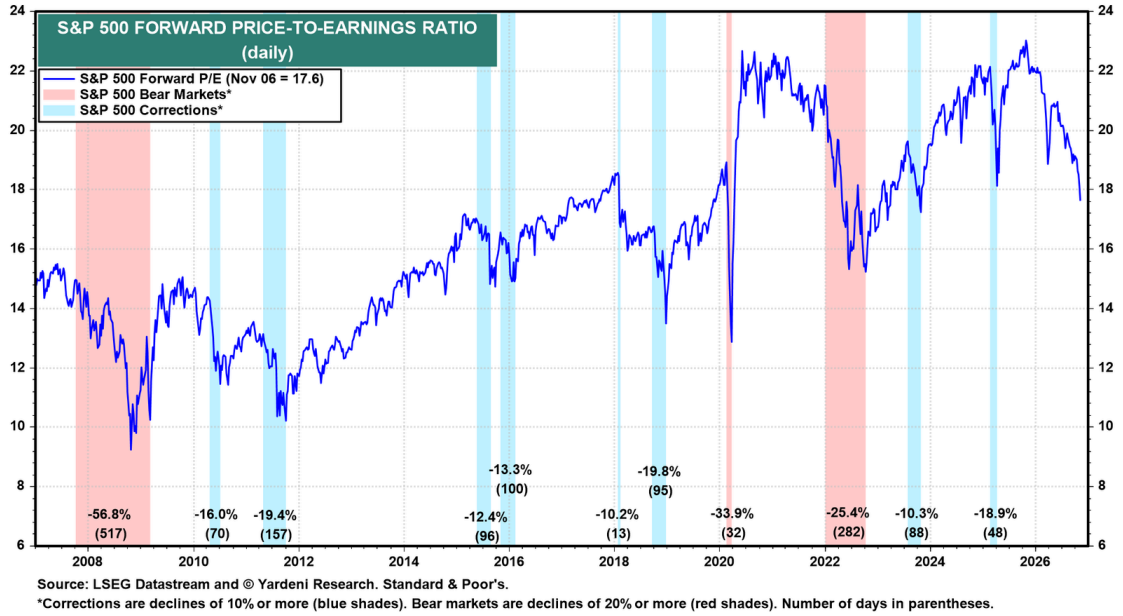


S&P 500 forward revenues per share is up 15.9% y/y, while forward earnings per share is up 39.0% y/y (chart).



III. Valuation

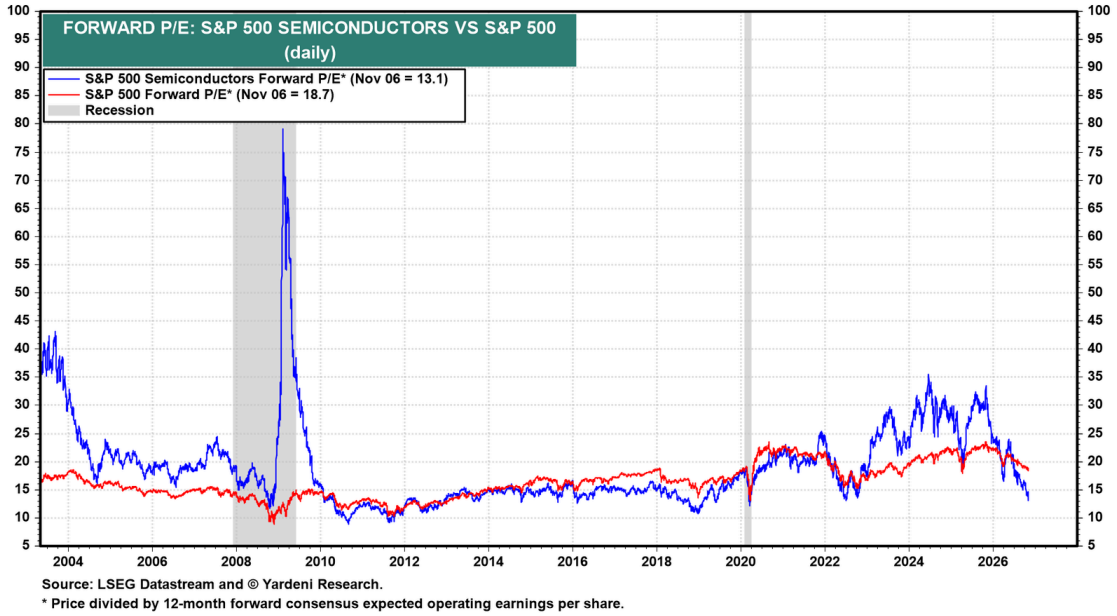
The S&P 500 forward P/E fell to 17.6 last week, below the 2025 Liberation Day low (chart). P/E plunges typically accompany corrections and recessions. The economy shows no sign of a recession anytime soon. Investors instead fear irrational exuberance in earnings forecasts.



Since the bull market began on October 12, 2022, the S&P 500 has risen 106.2%. Forward earnings is up 75.5%, while the forward P/E is up 22.5% (chart). The P/E and E both drove the rally until the forward P/E peaked in October last year. Since then, E has done all the work. Investors are finding it harder to predict the return on all the AI capital spending. They won't pay an excessive multiple given that uncertainty.

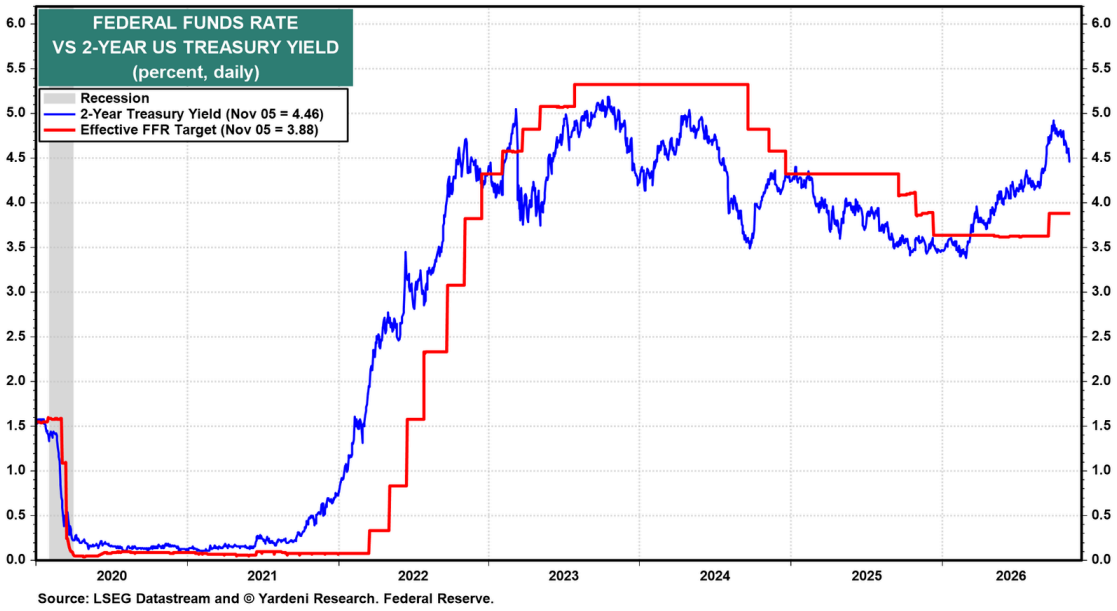


The S&P 500 Semiconductors industry accounts for much of the P/E drop. The industry index's forward P/E has plunged to 13.1, well below the S&P 500's (chart). Semis are now cheaper than they were during the 2022 bear market.

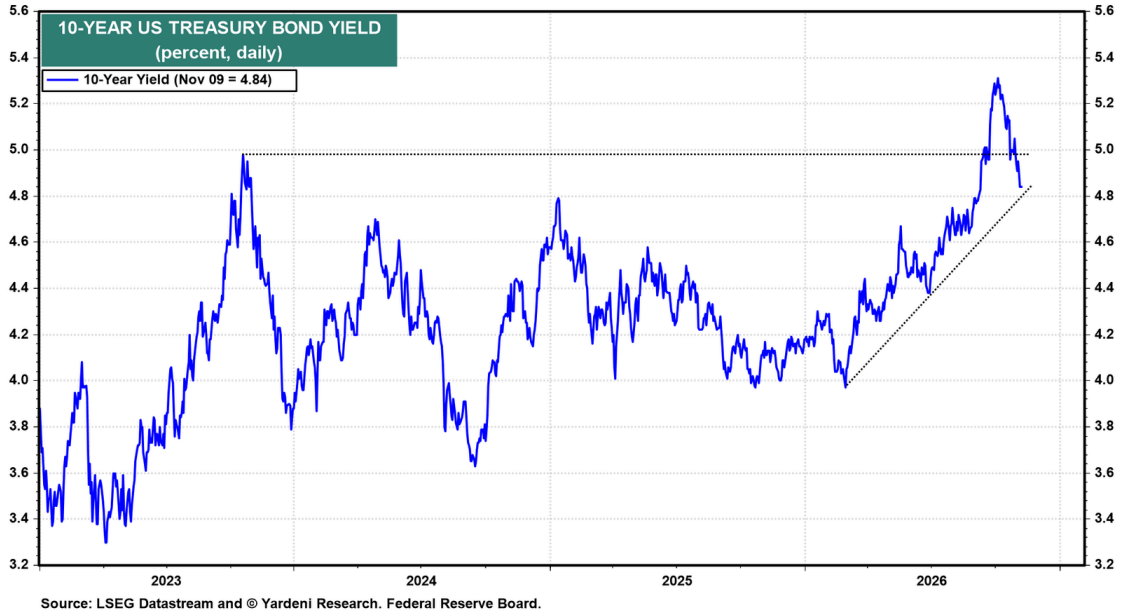


IV. Fixed Income

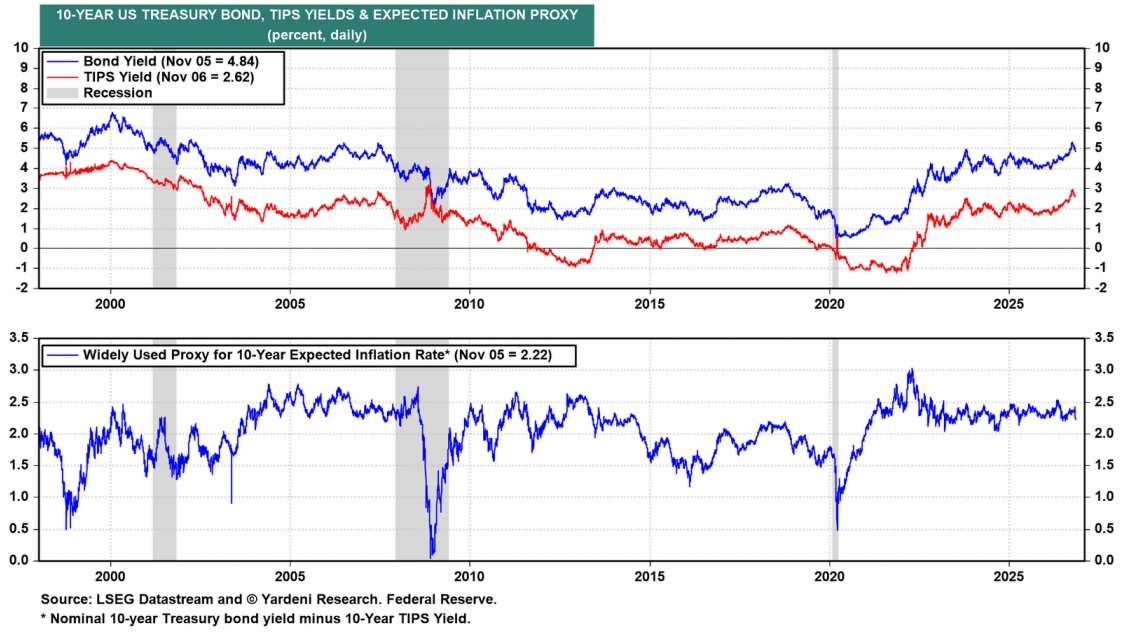
The futures market expects about two rate hikes over the next 12 months. That explains why the 2-year Treasury yield remains well above the 3.88% federal funds rate, even after easing to 4.46% following the midterms (chart).



The 10-year Treasury yield continues to fall. It dropped to 4.84% and is testing its uptrend line from last year's low (chart). We'll see if it bounces. Either way, it is back in the 4.00%-5.00% "old normal" range where we feel comfortable.



The 10-year TIPS yield fell to 2.62%. The yield spread between the 10-year Treasury and TIPS, a widely used proxy for expected inflation, eased to 2.22% (chart). That proxy tends to move with oil prices. The recent drop in crude showed up here.

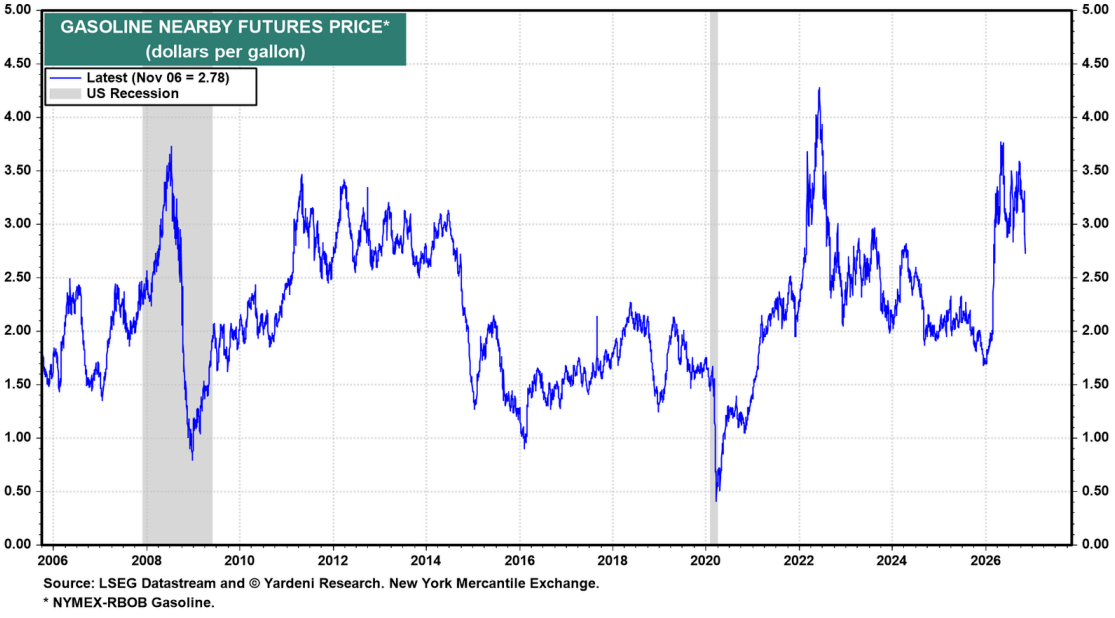


V. Commodities

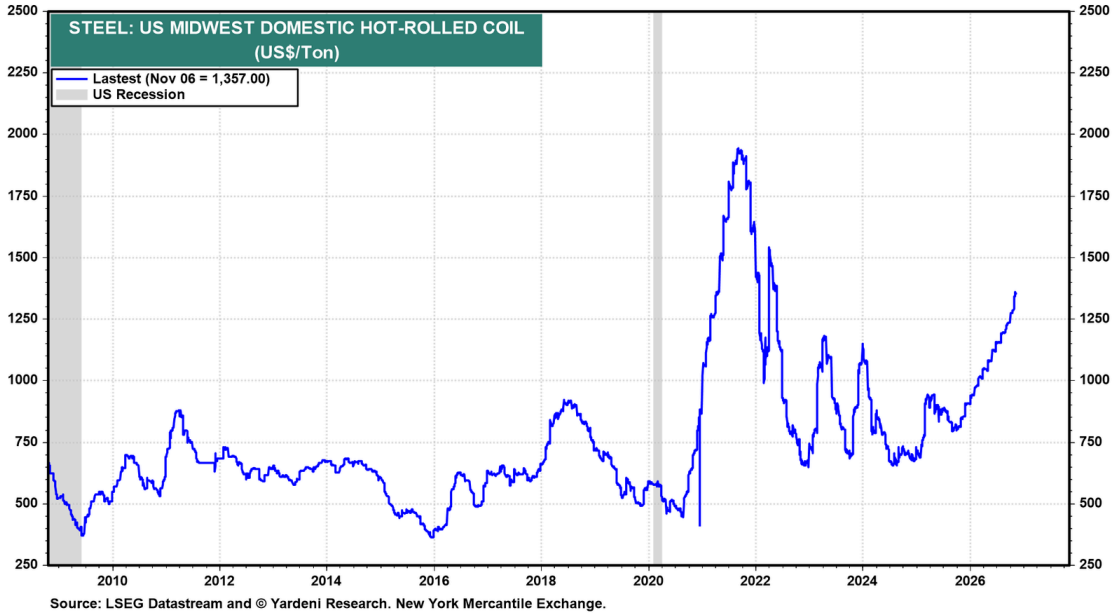
The price of Brent crude oil fell to $98.32 a barrel in recent days (chart). No news of the re-escalation of the war in the Middle East has emerged since the midterms. Hopes for a US-Iran deal are reflected in the oil market. We still see a risk of re-escalation.



Nearby gasoline futures dropped to $2.78 a gallon last week (chart). If sustained, that should start to show up as lower inflation in a couple of months. Renewed fighting in the Middle East would reverse that.



Steel prices show no sign of a slowdown in data center construction. US Midwest hot-rolled coil rose to $1,357 a ton, the highest since 2022 (chart).



Agricultural prices have eased. The S&P GSCI Agriculture Spot index fell to 376.77 last week (chart). Fears of a food price spike should subside.



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